Rooms With a View: Random Dorm Assignment and Cross-Class Friendship in College

Introduction — draft v1

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[Lena: first pass so we have something to react to on the 12th. Numbers are from Hana's April quick run — I think those are close to final? Lit is thin, Tomás is doing the proper review.]

Where a young person sleeps during her first year of college may shape whom she knows for the rest of her life. For a first-generation student from a low-income family, arriving at a large public flagship means entering, often for the first time, a social world in which a large share of her peers grew up in affluent households. Whether she befriends any of them—and whether it matters if she does—is the question at the heart of this paper.

A rapidly growing literature suggests that it matters a great deal. Using data on 21 billion friendships among 72.2 million Facebook users, Chetty et al. (2022) introduce the concept of *economic connectedness*, which measures how many high-income friends low-income people have. They show that economic connectedness is the single strongest predictor of upward mobility across U.S. counties, with a correlation of 0.65, stronger than school quality, family structure, or job availability. Most strikingly, Chetty et al. (2022) show that growing up in a county with high economic connectedness *causes* a 20 percent increase in adult income for children from low-income families. [is that the right way to say it? it's the headline number everyone quotes] Other types of social capital, like civic engagement and tight-knit networks, matter much less.

Colleges are central to this story. In their study of every U.S. college, Chetty, Friedman, Saez, Turner and Yagan (2020) show that colleges are as segregated by parental income as the neighborhoods children grow up in: at Ivy-Plus colleges, more students come from the top 1 percent of the income distribution (14.5 percent) than from the entire bottom half (13.5 percent). But even at less exclusive public universities, the students who *do* arrive from low-income families find themselves surrounded by affluent peers. The question is whether universities can turn that co-presence into connection.

We answer this question using a natural experiment at a large public flagship university that assigns first-year students to residence-hall rooms by lottery. Because the lottery ignores students' family backgrounds, some low-income students end up on floors where most of their neighbors are from high-income families, while otherwise similar students end up on floors with relatively few high-income neighbors. We link housing records for four entering cohorts to a campus social network built from ID-card "co-swipes," to career-services records, and to state wage records. Our sample includes **8,120 low-income students** across roughly 630 floors.

Our first finding is that exposure creates friendship: a 10 percentage point increase in the share of high-income floor-mates raises a low-income student's economic connectedness by

0.09, or about 13 percent of the mean. [H: pls confirm] Second, these friendships pay off. Students assigned to floors with more affluent peers are more likely to land paid internships and earn significantly more by their mid-twenties—roughly 8 percent more for a 10 point increase in high-income floor-mates. [earnings not final — consent sample still being built] Third, the effects are largest for first-generation students and for Black and Hispanic students, groups for whom Chetty, Hendren, Jones and Porter (2020) document especially low rates of upward mobility.

This paper builds on a long tradition of research using random roommate assignment. Sacerdote (2001) shows that randomly assigned roommates at Dartmouth affect each other's grades and fraternity membership, and Marmaros and Sacerdote (2006) show that simple physical proximity, like living in the same dorm, is one of the strongest determinants of who becomes friends with whom. Most closely related is Michelman, Price and Zimmerman (2022), who study Harvard in the 1920s and 1930s and find that exposure to high-status peers helped students from private schools join elite social clubs. [TK: what did they find for public-school kids? I think nothing? Tomás?] We extend this tradition from grades and clubs to social networks and earnings.

Our findings speak directly to a policy lever that universities fully control. Unlike admissions, which are constrained by law and politics, housing assignment is an administrative decision. If a modest change in who lives next to whom can raise low-income students' earnings, SES-conscious housing assignment could become one of the most cost-effective mobility tools in higher education. [Big claim — maybe tone down? Or keep for the brown bag and see who pushes back.]

The rest of the paper proceeds as follows. Section 2 describes the setting and data. Section 3 presents the empirical strategy. Section 4 reports results for friendship formation, Section 5 for early-career outcomes, and Section 6 examines mechanisms. Section 7 concludes.

[Open questions for the 12th: (1) Do we call them "high-income" or "high-SES"? (2) Which Chetty numbers do we lead with? (3) Is the policy paragraph too much for a v1?]